INTERNATIONAL MONETARY FUND

MYANMAR

February 25, 2019

STAFF REPORT FOR THE 2018 ARTICLE IV CONSULTATION—DEBT SUSTAINABILITY ANALYSIS

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Prepared by Staff of the International Monetary Fund and the International Development Association

Risk of external debt distress:	Low
Overall risk of debt distress:	Low
Granularity in the risk rating	Not applicable
Application of judgement:	No

Myanmar's risks of external debt and overall debt distress continue to be assessed as low. Under the new low-income country debt sustainability framework, debt carrying capacity of Myanmar has improved and all external debt and total public debt indicators remain below their respective indicative thresholds under the baseline scenarios and stress tests. External debt indicators are most vulnerable to shocks to nondebt flows and exports, reflecting the importance of FDI flows to the external position. Meanwhile, public debt indicators are most sensitive to a natural disaster shock, underscoring the importance of strengthening buffers to enhance resilience against shocks, including via continued revenue mobilization measures and building international reserves. Over the medium term, the authorities intend to expand external borrowing (mainly on concessional terms) to support large scale infrastructure projects under the Myanmar Sustainable Development Plan. Increasing the export base, maximizing concessional loans and improving the primary deficits would help keep the debt burden contained. Efforts to target infrastructure projects with high returns and financing these with concessional financing, including assessing fiscal risks of PPPs to limit and report contingent liabilities would benefit debt sustainability. Strengthening the business environment and governance, including in the natural resource sector would raise the investment outlook and potential growth.

PUBLIC DEBT COVERAGE AND COUNTRY CLASSIFICATION

1. The coverage of public sector debt used in the DSA is consolidated general government debt, government-guaranteed debt and social security funds. SOE debt is on lent and is therefore included in the coverage of public external debt.[1] There is no outstanding debt to the IMF.

Coverage of Public Sector Debt

1	Central government	X
2	State and local government	X
3	Other elements in the general government	
4	O/W: Social security fund	X
5	O/W: Extra budgetary fund (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	
8	Non-guaranteed SOE debt	

Source: IMF staff calculations

2. The new LIC DSF determines the debt sustainability thresholds by calculating a composite indicator (CI). In the previous debt sustainability framework (DSF), debt-carrying capacity was determined by the World Bank's CPIA score. Under this methodology, Myanmar was classified as having weak policy performance with a Country Policy and Institutional Assessment (CPIA) average of 3.07 for the period 2014–16. The CI, however, is based on a weighted average of several factors such as the country's real GDP growth, remittances, international reserves, and world growth and the CPIA score.[2] The calculation of the CI is based on 10-year averages of the variables, across 5 years of historical data and 5 years of projection, and the corresponding CPIA. For Myanmar, the CI score based on both the 2018 April WEO and 2018 October WEO data corresponds to a *medium rating* and thus the final debt carrying capacity classification for this DSA is medium. Thus, compared with the previous DSF methodology, the PV of debt-to-exports threshold has now increased from 100 percent to 180 percent while the debt service-to-exports and debt service-to-revenue thresholds remain unchanged. The indicative threshold for the PV of total public debt-to-GDP has been increased from 38 to 55 percent of GDP. A summary of the thresholds used in the exercise are included in the table below.

[1] The 2017 public debt management Law states that SOES can borrow directly from state-owned banks or benefit of on lending from the government.

[2] The details on the methodology can be found in the new LIC-DSF guidance note: https://www.imf.org/en/Publications/Policy-Papers/Issues/2018/02/14/pp122617guidance-note-on-lic-dsf

Applicable Thresholds

Applicable		Applicable	
External debt burden thresholds		Total public debt benchmark	
PV of debt in percent of exports	180	PV of total public debt in percent of GDP	55
GDP	40		
Debt service in percent of exports	15		
Revenue	18		

Source: IMF staff calculations.

BACKGROUND ON DEBT

3. Myanmar's total public debt is estimated to be 38.5 percent of GDP as of FY2018.[3] Public debt in this DSA covers public domestic debt (59.1 percent of total public debt in FY2018) and public and publicly guaranteed (PPG) external debt (58.2 percent of total public debt in FY2018).[4] Domestic debt comprises T-bills and T-bonds, a large share of which–mostly 3-month T-bills–is held by the central bank. The largest share of PPG external debt is held by bilateral creditors amongst which China and Japan are the largest creditors. International Development Association (IDA) and the Asian Development Bank (ADB) are the largest multilateral creditors (Table 1).

Myanmar: PPG External Debt

In USD millions	End-June 2018	In percent
Bilateral Loans	**8,108.8**	**81.6**
Paris Club	3,875.8	39.0
of which: Japan	2,419.5	24.3
Non Paris Club	**4,233.0**	**42.6**
of which: China	3,848.0	38.7
Multilateral Loans	**1,795.4**	**18.1**
of which: ADB	556.9	5.6
of which: IDA	1,220.0	12.3
Commercial	**38.1**	**0.4**
Total	**9,942.3**	**100.0**

Source: Myanmar authorities.

4. Total private external debt is estimated to be 12.3 percent of GDP as of FY2018. Total external debt includes revised estimates of private external debt benefitting from the intensive ongoing TA in external sector statistics. Thus, total external debt, a total of PPG external and private external debt, is estimated to be 28.4 percent of GDP as of FY2018.[5]

5. Contingent liabilities include potential recapitalization needs of the banking system. The banking system is adjusting to the 2017 prudential regulations by converting overdraft to term loans, deleveraging and recognizing previously unreported non-performing loans. With bank capital positions and profitability low in most private banks, banks will need to recapitalize through time. The government is assessing restructuring options for the state-owned banks based on the findings

[3] Myanmar's fiscal year has changed from April-March, to October-September. Following a six-month transition period, from April 1, 2018 to September 30, 2018, the new fiscal year started October 2018. This first year of projection in this DSA is FY2018. FY2018 covers the period October 2017 – September 2018.

[4] For Myanmar, the external debt definition used in this DSA is based on residency.

[5] These large changes in external debt in FY2017 and FY2018 are reflected in the large residuals in the debt dynamics table (Table1).

of recent diagnostics studies, which may entail fiscal costs of recapitalization. While data limitations hinder a full assessment of potential NPLs and recapitalization needs, the uneven loan loss recognition and inadequate provisions, large exposures, and low capital position of banks indicate systemic concerns. A shock covering 5 percent of GDP has been added to the analysis to account for potential recapitalization needs.

Coverage of Contingent Liabilities

1	The country's coverage of public debt	The central and local government plus social security, government-guarnateed debt	
		Used for the analysis	**Reasons for deviations from the default settings**
2	Other elements of the general government not captured in 1	0.0	
3	SOE's debt (guaranteed and not guaranteed by the government)[1]	0.0	By law: SOEs cannot borrow directly
4	PPP	0.00	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5	
	Total (2+3+4+5) (in percent of GDP)	5.0	

Source: IMF staff calculations.

[1]The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

6. The authorities plan on increasing their reliance on external borrowing particularly for the several infrastructure projects in support of the Myanmar Sustainable Development Plan (MSDP). To achieve the SDGs, the MSDP recognizes that a second wave of reforms with greater investments in both physical and human capital are needed. Key investments include those under the China-Myanmar Economic Corridor (such as the Kyaukpyu port), as well as with ODA from India (the Sittwe port and the planned India-Myanmar-Thailand trilateral highway) and Japan (the Thilawa special economic zone and Mekong-Japan Connectivity Initiatives) and other projects funded by multilateral donors (the East-West corridor). To finance these and other projects, the Myanmar authorities continue to seek external borrowing on concessional terms while limiting financing on commercial terms to projects assessed to have a high return on investment.

7. The authorities also intend to use more extensively Public-Private Partnerships (PPPs). The authorities have started to improve their public investment management framework, including for PPPs. They have recently issued the Project Bank Notification which aims at improving investment planning by identifying and screening infrastructure projects. They are also committed to building capacity of the Ministry of Planning and Finance to analyze and select these infrastructure projects. Given their limited experience with privately-financed investment, these are likely to create large fiscal commitments and in turn significant fiscal risks.[6]

[6] A PPP shock in the LIC DSA framework is applicable only when the PPP capital stock is larger than 3 percent of GDP; per the latest data from the World Bank's PPP database, Myanmar PPP stock is estimated to be 1.42 percent of GDP.

MACRO FORECASTS AND SCENARIOS

A. The Baseline Scenario

8. The assumptions in the baseline scenario are consistent with the macroeconomic framework presented in the staff report. The main assumptions in the baseline are:

- **Real GDP growth.** Economic growth is expected to gradually rise close to 7 percent over the medium-term, but its pace is somewhat slower compared to the previous DSA anticipating weaker FDI inflows and macro-financial spillovers of the on-going bank restructuring process.[7]

- **Inflation.** Headline inflation was moderate but has spiked recently due to higher fuel prices and kyat depreciation. Inflation is projected to rise temporarily given the pass-through of kyat depreciation and higher oil prices.

- **Current account.** The current account deficit narrowed in FY2017/18 largely financed by sustained FDI inflows, keeping international reserves at about three months of imports. The current account deficit is projected to increase to around 5 percent of GDP over the short to medium term reflecting a relatively stronger demand for imports including oil.

- **External financing.** Project financing from large creditors is currently in place, however, budget financing from creditors remains uncertain. Multilateral financing is expected to remain stable, while bilateral financing is projected to pick up from 2021 onwards. The medium-term outlook for FDI and external financing has become more uncertain than previously and is dependent on how the humanitarian crisis in Rakhine unfolds. FDI inflows are expected to slow down over the medium-term to slightly below 4 percent of GDP.

- **Fiscal outlook.** Fiscal deficit for FY2018/19 is projected to increase as budget execution improves. The greater appetite for government securities as banks deleverage provides a window to raise government securities issuance and fund the deficit in an uncertain environment for external financing. The primary deficit is expected to increase over the medium term as budget execution improves which will help close the SDG gaps in education, health and infrastructure.

- **Realism of the baseline.** The shift in PPG external debt-to-GDP ratio compared with the DSA from five years ago (2013) arises from the large debt relief the country received. Cross-country experience suggests that the baseline fiscal expansion is feasible, and the projected growth path is in line with a fiscal multiplier of 0.2.[8]

[7] Myanmar: 2016 Article IV Consultation Staff Report (Box 2); IMF Country Report No. 17/30.

[8] Public/Private investment rate charts are not available in the current DSA from data limitations.

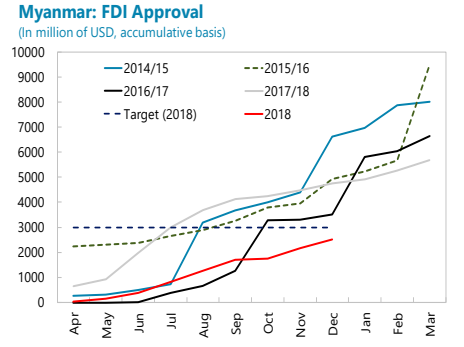
Key Macroeconomic Assumptions : FY2018 - FY2023 (average)

	Baseline	Low External Financing	High External Financing	Previous DSA
Real GDP growth (in percent)	6.7	5.2	7.2	7.3
Inflation (percent change, y/y)	6.5	8.2	7.0	6.0
Primary fiscal balance (in percent of GDP)	-1.9	-1.7	-2.5	-2.4
Overall fiscal balance (in percent of GDP)	-3.6	-3.7	-4.2	-4.1
Current account (in percent of GDP)	-4.8	-5.1	-5.2	-5.8
FDI (in percent of GDP)	4.1	3.8	4.6	6.0

Source: IMF staff calculations. FY2018 runs from October 2017 to September 2018. Thereafter, all fiscal years are on a October to September basis.

B. Staff Scenario Analysis

9. Two financing scenarios, a downside and an upside scenario, illustrate the potential impact stemming from these risks on the economy and policy trade-offs. A prolonged humanitarian crisis in Rakhine state and lack of progress in addressing concerns of the international community on the refugee repatriation process could further reduce concessional donor financing and fiscal space. A withdrawal of GSP+ trade preferences from the EU on human rights concerns poses an added risk to exports and investor confidence. FDI project approvals, a leading indicator of FDI inflows, has already fallen sharply since the humanitarian crisis intensified in 2017. The downside scenario assumes a higher share of new borrowing on non-concessional terms and lower FDI inflows and exports over the medium-term based on negative investor sentiment and development partner sentiment compared with the baseline. This necessitates a reduction in government spending and results in depreciation pressures that leads to lower growth and higher inflation. On the upside, progress on the humanitarian crisis would facilitate a resumption in higher external concessional financing including budget support that allows higher SDG related spending and rebuilding of international reserves, lowering risk premia and crowding-in investment, supporting an uplift in growth. The shocks under both scenarios are temporary and it is assumed that over the medium-to-long term the economy converges towards the baseline.



Sources: Myanmar authorities; and IMF staff calculations.

Box 1. Medium Term Assumptions for Staff Scenarios

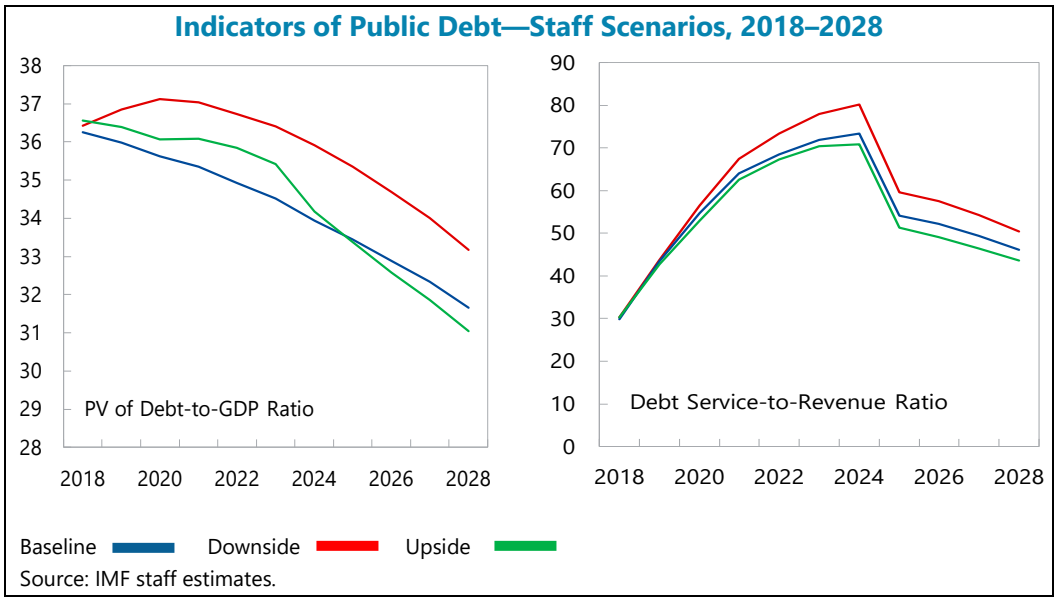
In the low financing scenario, as a share of GDP, external financing from multilateral official donors has been reduced by approximately half while FDI has been reduced by 0.4 percent. An export shock, corresponding to the exposure to the European market (a reduction in exports of goods by US$500 million on average annually), is also included. Given the lower external financing, government project spending has been reduced by 0.2 percent of GDP, however, central bank financing of the deficit has been increased which has increased domestic interest payments by 20 percent over the medium term. The increase in the central bank financing implies a depreciation of the exchange rate (6 percent on average) and an increase in inflation expectations (2.5 percent on average). In this context, growth in the scenario is expected to be around 5 percent over the medium term. In the upside high financing scenario, financing (including budget support) is expected to improve as is FDI (by 0.5 percent of GDP on average) on the premise that good progress will be made on the humanitarian crises. This is reflected in increased financing from major multilateral and bilateral donors (by 0.6 percent of GDP) which in turn increases project spending (by 0.7 percent of GDP). The exchange rate depreciates while inflation increases, but at a pace slower than the low financing scenario (by 1.0 percent and 0.7 percent). Growth is higher on average by 0.8 percent in medium term.

Myanmar: Scenario Analysis (FY2018 - FY2023)

		Baseline	Downside	Upside
Selected Macro Indicators	2017/18	Average (FY2018-FY2023)	Average (FY2018-FY2023)	Average (FY2018-FY2023)
Real GDP growth (in percent)	6.8	6.7	5.2	7.2
CPI (period average)	4.0	6.5	8.2	7.0
Primary fiscal balance (in percent of GDP)	-1.3	-1.9	-1.7	-2.5
Net lending/borrowing (in percent of GDP)	-2.7	-3.6	-3.7	-4.2
Current account balance (percent of GDP)	-4.7	-4.8	-5.1	-5.2
Import coverage (in months)	3.3	3.0	2.4	3.8
FDI (in percent of GDP)	5.4	4.1	3.8	4.6

Source: IMF staff calculations. FY2018 runs from October 2017 to September 2018. Thereafter, all fiscal years are on a October to September basis.

10. Under both scenarios, the PV of public-debt ratio remains under its indicative thresholds. In the downside scenario, the PV-of-public-debt to GDP ratio deteriorates throughout the projection period under the assumption that new borrowing will be contracted on non-concessional terms and economic growth will slow down. The debt-service-to-revenue ratio deteriorates due to higher debt service payments falling due relatively earlier compared to the baseline. Similarly, in the upside, the deterioration of the PV-of-public-debt to GDP ratio from the initial rapid accumulation of debt from both concessional and non-concessional resources is small due to the higher spending assumed for productive investments and in turn higher growth. The debt-service-to-revenue ratio marginally improves compared to the baseline from the assumption that revenue collection is stronger in a higher growth environment.



Source: IMF staff estimates.

EXTERNAL AND PUBLIC DEBT SUSTAINABILITY

11. All external PPG debt indicators remain below the policy relevant thresholds in the baseline scenario (Figure 1). The PV of external debt-to GDP ratio is expected to grow gradually and then decline from 12.3 percent in FY 2018 to around 10 percent over the projection period corresponding to new disbursements for key infrastructure projects, including those envisioned under the MSDP. However, the standardized stress tests show that a shock to non-debt flows has the largest negative impact, causing a deterioration of three external debt ratios—the PV of debt-to-GDP ratio, PV of debt-to-exports ratio and the debt service-to-revenue ratio (Figure 2). This shock underscores the importance of preserving robust investor sentiment in Myanmar. The impact from the humanitarian crises is starting to reflect in weakening foreign investor sentiment and donor financing. The debt service-to-exports ratio is affected by a shock to exports highlighting the need to expand the export base and the importance of the new ongoing gas explorations. The authorities need to build up policy buffers, particularly domestic revenues and foreign reserves and continue their efforts with structural reforms to improve growth potential and resilience and promote economic diversification.

12. The PV of total public debt-to-GDP ratio lies comfortably below the public debt benchmark (Figure 2). The standardized sensitivity analysis shows that the largest shock that pushes the PV of public debt-to-GDP in FY 2028 to reach 40 percent of GDP is the natural disaster shock (Figure 2, Table 4).[9] It is estimated that natural disasters in Myanmar have generated a direct economic loss of 1.82 percent of GDP every year (2006–15), on average (Myanmar Selected Issues 2018). Natural disasters affect debt sustainability through damaging long-term growth and

[9] One-off shock of 10 percentage points of GDP to debt-GDP ratio in the second year of the projection period (2019 for this case). Real GDP growth and exports are lowered by 1.5 and 3.5 percentage points, respectively, in the year of the shock.

increasing borrowing for reconstruction needs. To more effectively mitigate the impact of climate-related disasters, the authorities need to enhance preparedness and response ability through addressing weaknesses in ex-ante resilience and ex-post adaptive capacity. The vulnerability to this shock also highlights the need for stronger growth in the medium term and the importance of building fiscal and external buffers.

ASSESSMENT OF RISK RATING

13. The DSA under the new LIC DSF framework suggests that Myanmar's risk of external debt distress is low as is the overall risk of debt distress. While the overall debt outlook remains positive—the total public debt and the total PPG external debt are expected to remain below their respective thresholds and benchmarks over the projection period—several vulnerabilities exist. These include a shock to FDI (non-debt flows), exports, the aftermath from a natural disaster or from larger than expected contingent liabilities arising from the banking system. Increasing the export base, maximizing concessional loans and improving policy buffers would help keep the debt burden contained. The authorities should strengthen their debt management capacity and remain cautious about borrowing that leads to a rapid debt buildup and should target infrastructure projects with high returns and concessional financing, including assessing fiscal risks of PPPs to limit and report contingent liabilities. While the debt service-to-exports and debt service-to-revenue ratios remain well below the thresholds, the authorities should remain mindful of liquidity risks. Limited financing options imply that even a moderate increase in the deficit implies a recourse to central bank financing. This, in turn, creates inflationary pressures and raises broader macro-stability concerns. The in-year challenges of foreign exchange availability for lumpy external debt repayments coupled with thin foreign exchange markets, could put pressure on the Kyat and, in turn, raise financing challenges.

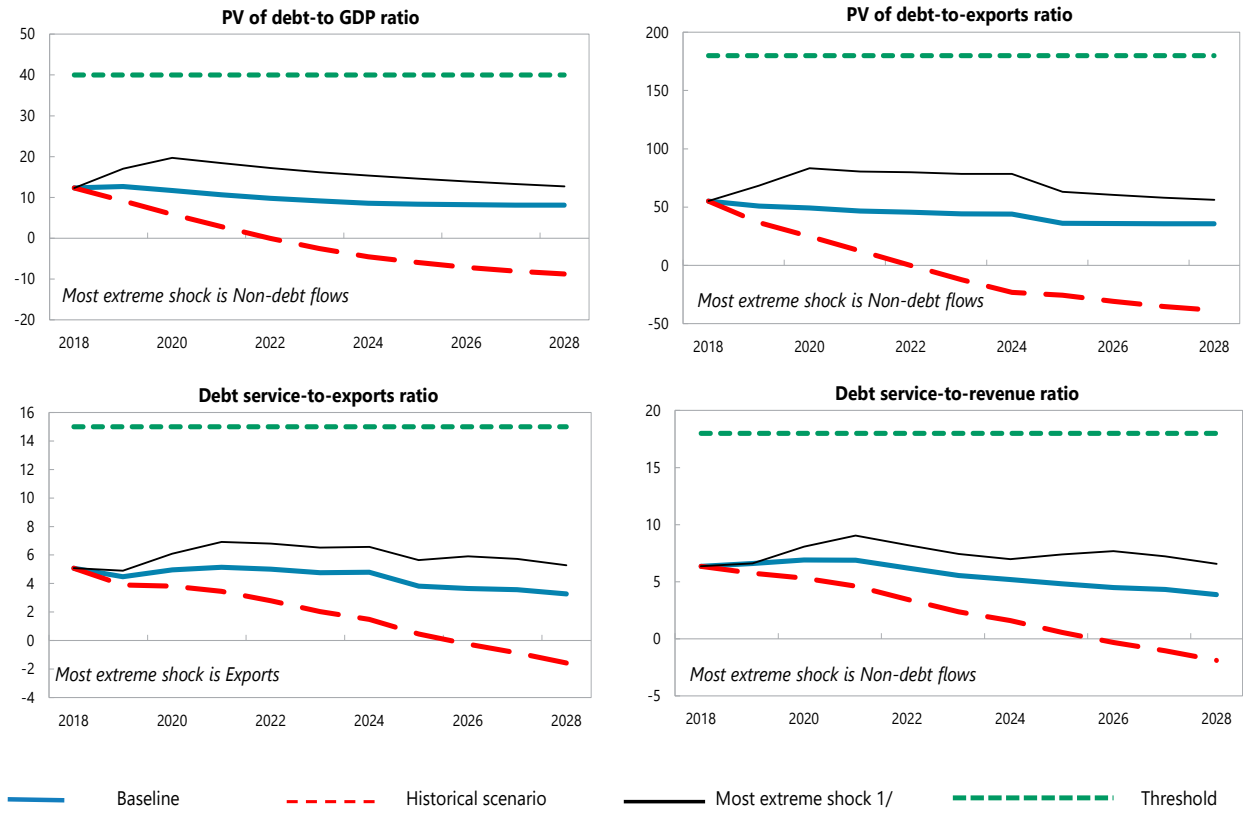
Strengthening the business environment and governance, including in the natural resource sector would raise the investment outlook and potential growth. Progress on the Rakhine state crisis will be closely watched by the international community and affect the outlook for investment inflows and donor financing. Fragilities in the banking system are surfacing and the authorities should remain vigilant of the potential impact by monitoring the balance sheet of the banks as they conform to the new regulations. Over the long term, the need to strengthen economic resilience and increasing fiscal and external buffers is emphasized to strengthen debt sustainability.

Authorities' Views

14. The authorities broadly agreed with staff's assessment of the debt sustainability analysis. The authorities are carefully considering large infrastructure projects to benefit from the demographic dividend and Myanmar's strategic location while ensure debt sustainability. The authorities added that projects under CMEC and other regional connectivity will be scrutinized and subject to open tender. They also highlighted the cabinet's recent approval of the Project Bank Notification that requires all large infrastructure projects go through the same appraisal and approval process. Regarding the crises in Rakhine state, they noted the international scrutiny and

possible implications to investor sentiment including from a reduction in external financing. They appreciated the downside scenario and policy trade-offs outlined by staff. They reiterated their commitment to steadily phase-out monetary financing and noted that spending could pick up in the new fiscal year following the transition budget under-execution.

Figure 1. Myanmar: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2018–2028 1/ 2/



Customization of Default Settings	Size	Interactions
Tailored Tests		
Combined CLs	Yes	
Natural Disasters	No	No
Commodity Prices 2/	n.a.	n.a.
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.1%	5.0%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	28	20
Avg. grace period	7	5

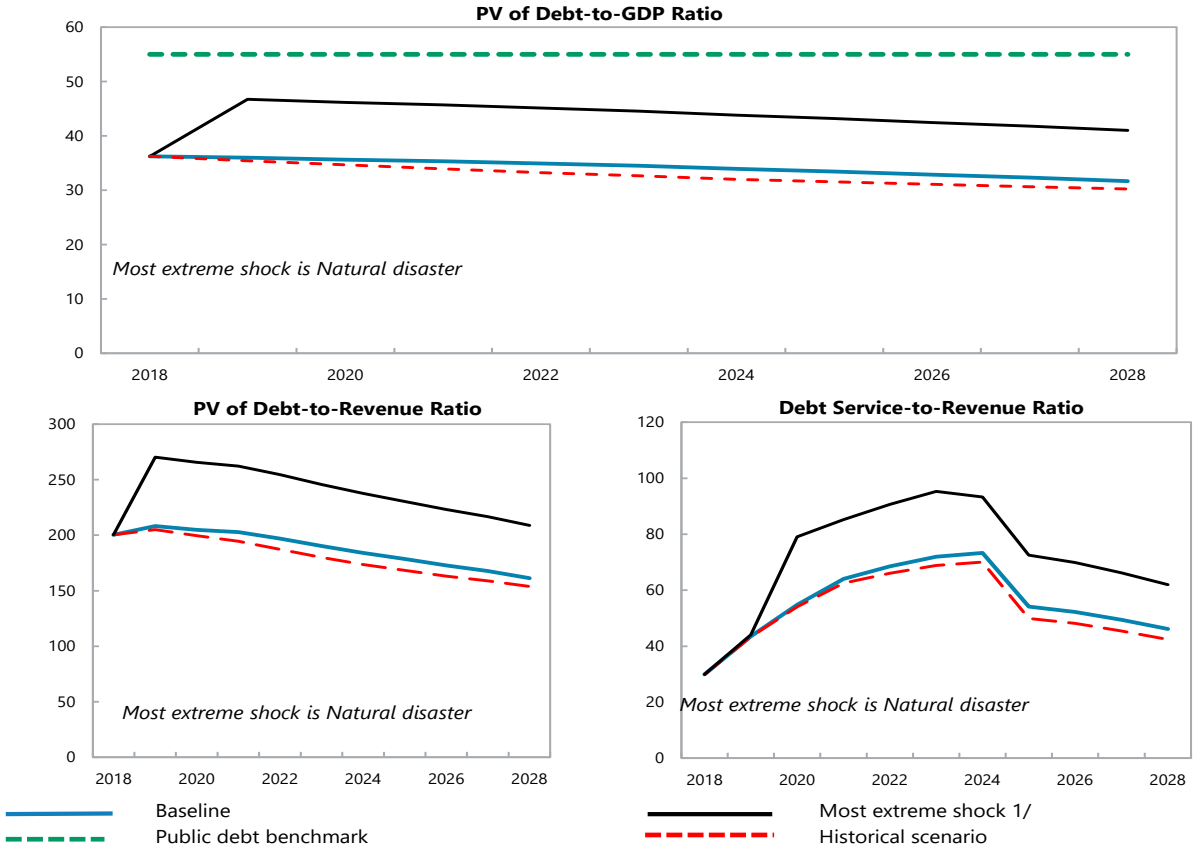
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2028. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Myanmar: Indicators of Public Debt Under Alternative Scenarios, 2018-28 1/



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	11%	11%
Domestic medium and long-term	52%	52%
Domestic short-term	37%	37%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.1%	5.0%
Avg. maturity (incl. grace period)	28	20
Avg. grace period	7	5
Domestic MLT debt		
Avg. real interest rate on new borrowing	1.2%	3.0%
Avg. maturity (incl. grace period)	4	4
Avg. grace period	1	1
Domestic short-term debt		
Avg. real interest rate	0.8%	0.8%

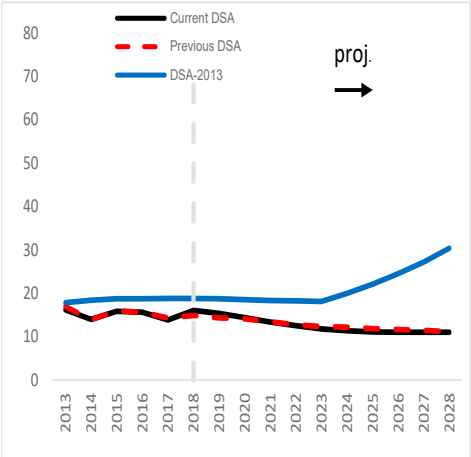
* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2028. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

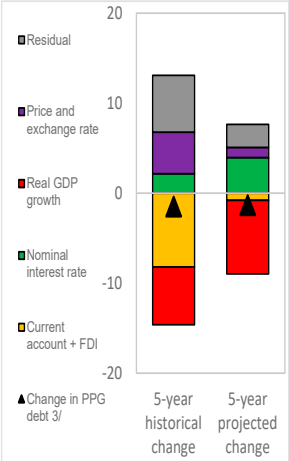
Figure 3. Myanmar: Drivers of Debt Dynamics—Baseline Scenario

External Debt

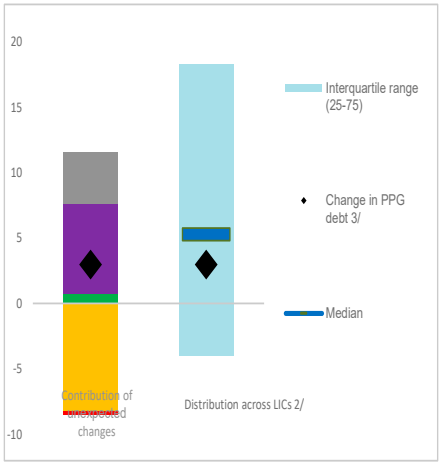
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

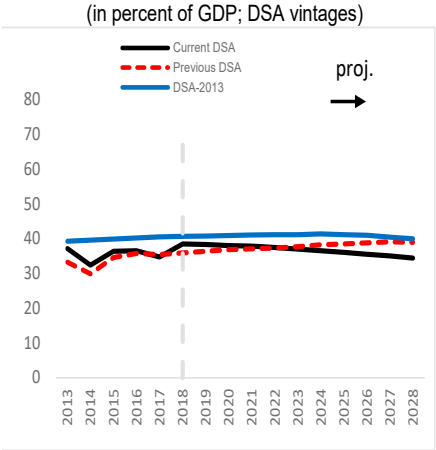


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

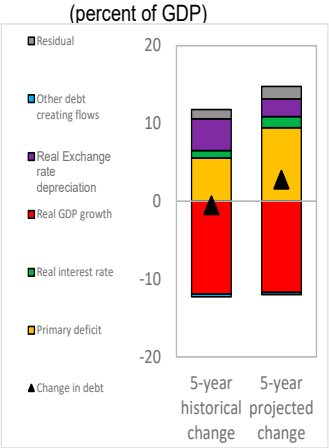


Public Debt

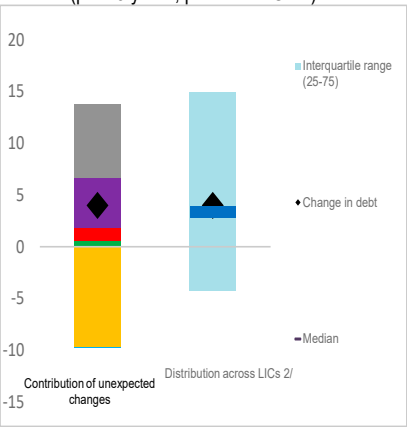
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



Source: IMF staff calculations.

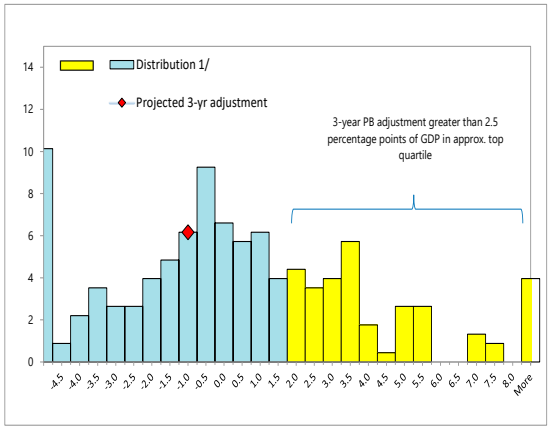
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

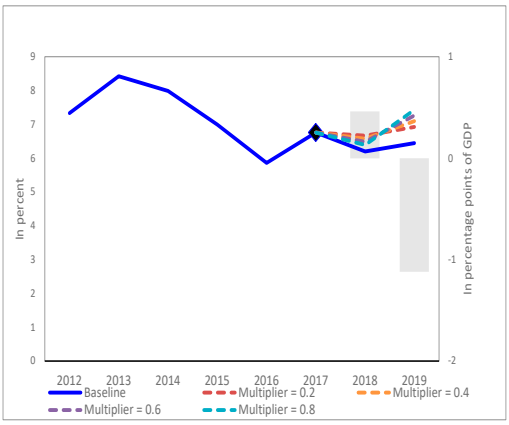
Figure 4. Myanmar: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



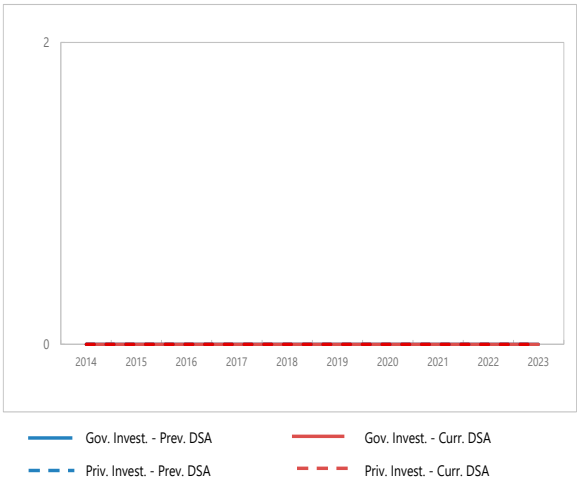
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/

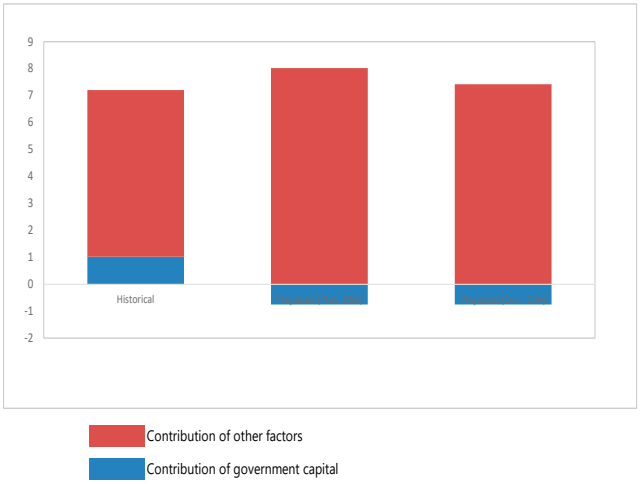


1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)



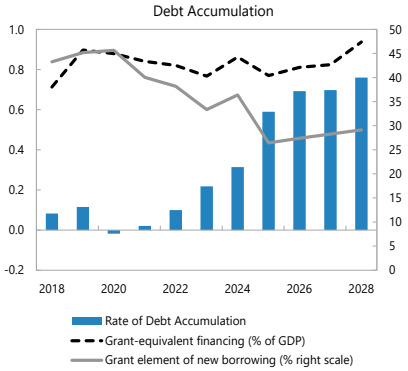
Source: IMF staff calculations.

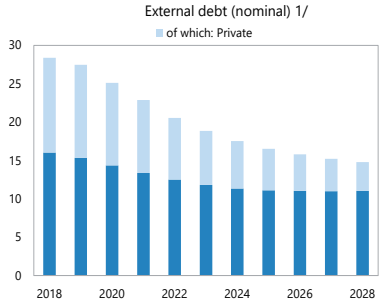
Table 1. Myanmar: External Debt Sustainability Framework, Baseline Scenario, 2015–38

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2028	2038	Historical	Projections
External debt (nominal) 1/	**21.1**	**20.6**	**26.7**	**28.4**	**27.5**	**25.1**	**22.9**	**20.5**	**18.9**	**14.8**	**15.9**	**15.9**	**20.3**
of which: public and publicly guaranteed (PPG)	**15.9**	**15.6**	**13.8**	**16.0**	**15.3**	**14.4**	**13.4**	**12.5**	**11.8**	**11.0**	**14.6**	**13.1**	**12.6**
Change in external debt	2.3	-0.6	6.1	1.7	-0.9	-2.4	-2.2	-2.3	-1.7	-0.4	0.3		
Identified net debt-creating flows	**1.3**	**-2.0**	**-1.8**	**-2.4**	**-1.1**	**-0.6**	**-0.5**	**-0.4**	**-0.3**	**-0.5**	**-0.3**	**-2.5**	**-0.7**
Non-interest current account deficit	**4.8**	**4.0**	**4.0**	**3.5**	**4.0**	**4.1**	**4.1**	**4.1**	**4.2**	**4.1**	**3.7**	**2.1**	**4.0**
Deficit in balance of goods and services	5.0	5.1	5.4	4.2	4.6	4.5	4.6	4.5	4.7	4.6	4.4	**1.2**	**4.5**
Exports	22.1	20.7	21.9	22.3	24.9	23.7	22.9	21.5	20.6	22.7	23.5		
Imports	27.1	25.8	27.3	26.6	29.6	28.2	27.5	26.0	25.3	27.3	27.9		
Net current transfers (negative = inflow)	-3.1	-3.3	-3.7	-3.3	-3.4	-3.3	-3.1	-3.0	-2.8	-2.4	-1.6	**-1.8**	**-2.8**
of which: official	-0.5	-0.4	-0.7	-0.5	-0.4	-0.4	-0.4	-0.4	-0.4	-0.5	-0.3		
Other current account flows (negative = net inflow)	2.9	2.2	2.4	2.5	2.8	2.8	2.6	2.6	2.4	1.8	0.9	**2.8**	**2.4**
Net FDI (negative = inflow)	**-5.8**	**-5.2**	**-5.4**	**-5.0**	**-4.2**	**-3.9**	**-3.8**	**-3.7**	**-3.8**	**-4.0**	**-3.4**	**-3.9**	**-4.0**
Endogenous debt dynamics 2/	**2.2**	**-0.8**	**-0.4**	**-0.8**	**-0.9**	**-0.8**	**-0.8**	**-0.8**	**-0.7**	**-0.6**	**-0.6**		
Contribution from nominal interest rate	0.4	0.3	0.6	0.9	0.9	0.8	0.7	0.6	0.6	0.4	0.3		
Contribution from real GDP growth	-1.4	-1.2	-1.3	-1.7	-1.9	-1.7	-1.5	-1.4	-1.3	-1.0	-0.9		
Contribution from price and exchange rate changes	3.3	0.0	0.2	...	...	...	...	...	...	...	...		
Residual 3/	**1.1**	**1.5**	**7.9**	**4.1**	**0.2**	**-1.8**	**-1.7**	**-1.9**	**-1.4**	**0.1**	**0.5**	**3.5**	**-0.4**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**12.3**	**12.3**	**12.7**	**11.7**	**10.7**	**9.8**	**9.1**	**8.1**	**10.8**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**56.1**	**55.2**	**51.0**	**49.3**	**46.7**	**45.7**	**44.2**	**35.7**	**45.9**		
PPG debt service-to-exports ratio	**28.2**	**27.6**	**5.4**	**5.1**	**4.5**	**5.0**	**5.1**	**5.0**	**4.8**	**3.3**	**3.2**		
PPG debt service-to-revenue ratio	**32.6**	**31.2**	**7.1**	**6.4**	**6.6**	**6.9**	**6.9**	**6.2**	**5.5**	**3.9**	**3.5**		
Gross external financing need (Million of U.S. dollars)	3191.0	2865.6	3560.8	3278.1	4159.7	4402.0	4654.4	4849.4	4695.0	4437.4	7027.8		
Key macroeconomic assumptions													
Real GDP growth (in percent)	7.0	5.9	6.8	6.7	6.4	6.6	6.7	6.9	6.9	7.0	6.5	**6.3**	**6.8**
GDP deflator in US dollar terms (change in percent)	-14.9	0.1	-1.2	-1.6	-8.0	2.0	2.5	2.8	2.6	2.7	2.4	**5.7**	**1.3**
Effective interest rate (percent) 4/	1.9	1.7	3.2	3.4	3.2	3.3	3.1	3.0	3.0	2.7	2.4	**4.8**	**3.0**
Growth of exports of G&S (US dollar terms, in percent)	-5.8	-0.5	11.6	2.3	9.3	3.2	5.8	3.2	5.5	9.0	8.6	**8.3**	**8.3**
Growth of imports of G&S (US dollar terms, in percent)	11.0	1.0	11.9	-2.3	8.9	3.8	6.6	3.8	7.0	9.3	8.8	**13.0**	**7.9**
Grant element of new public sector borrowing (in percent)	...	...	...	43.3	45.2	45.6	40.0	38.2	33.3	29.1	26.6	**...**	**35.7**
Government revenues (excluding grants, in percent of GDP)	19.1	18.4	16.8	17.8	16.9	17.0	17.0	17.3	17.7	19.1	21.5	**15.7**	**17.9**
Aid flows (in Million of US dollars) 5/	1054.5	644.9	574.0	784.5	931.7	990.6	987.5	1036.4	972.2	1773.2	3650.4		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	0.7	0.9	0.9	0.8	0.8	0.8	0.9	0.8	**...**	**0.8**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	54.1	59.8	60.6	56.0	54.7	51.1	46.9	36.2	**...**	**51.2**
Nominal GDP (Million of US dollars)	59,687	63,240	66,721	67,054	65,665	71,403	78,124	85,857	94,227	150,910	372,491		
Nominal dollar GDP growth	-9.0	6.0	5.5	0.5	-2.1	8.7	9.4	9.9	9.7	9.8	9.0	**12.2**	**7.8**
Memorandum items:													
PV of external debt 7/	...	...	25.1	24.7	24.8	22.4	20.2	17.8	16.2	11.8	12.1		
In percent of exports	...	...	114.5	110.5	99.6	94.7	88.3	83.1	78.4	52.2	51.6		
Total external debt service-to-exports ratio	28.2	27.6	30.5	28.8	26.1	25.0	24.7	24.5	22.0	12.6	6.7		
PV of PPG external debt (in Million of US dollars)			8211.4	8266.1	8343.0	8331.0	8345.6	8423.4	8610.0	12219.9	40184.9		
(PVt-PVt-1)/GDPt-1 (in percent)				0.1	0.1	0.0	0.0	0.1	0.2	0.8	1.3		
Non-interest current account deficit that stabilizes debt ratio	2.5	4.5	-2.1	1.7	4.9	6.4	6.3	6.4	5.9	4.5	3.4		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and IMF staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + Ɛα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, Ɛ=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

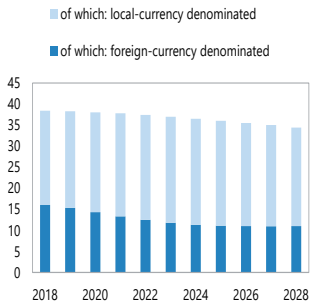
Table 2. Myanmar: Public Sector Debt Sustainability Framework, Baseline Scenario, 2015–38

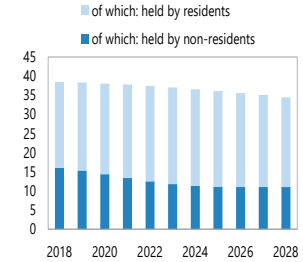
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2028	2038	Historical	Projections
Public sector debt 1/	**36.3**	**36.5**	**34.7**	**38.5**	**38.3**	**38.0**	**37.8**	**37.4**	**37.0**	**34.5**	**29.7**	**32.9**	**36.8**
of which: external debt	**15.9**	**15.6**	**13.8**	**16.0**	**15.3**	**14.4**	**13.4**	**12.5**	**11.8**	**11.0**	**14.6**	**13.1**	**12.6**
Change in public sector debt	3.9	0.2	-1.8	3.8	-0.1	-0.3	-0.2	-0.4	-0.4	-0.6	-0.5		
Identified debt-creating flows	**3.3**	**1.0**	**-1.8**	**2.1**	**-0.1**	**-0.3**	**-0.2**	**-0.4**	**-0.4**	**-0.6**	**-0.5**	**-1.3**	**-0.2**
Primary deficit	**3.1**	**1.2**	**1.3**	**0.8**	**1.9**	**2.2**	**2.3**	**2.1**	**1.9**	**1.5**	**1.1**	**1.5**	**1.8**
Revenue and grants	19.5	18.8	17.1	18.1	17.3	17.4	17.4	17.7	18.1	19.6	21.8	**15.9**	**18.3**
of which: grants	0.4	0.4	0.2	0.3	0.4	0.4	0.4	0.4	0.4	0.5	0.3		
Primary (noninterest) expenditure	22.7	20.0	18.3	18.9	19.2	19.6	19.8	19.9	20.1	21.1	22.9	**17.4**	**20.1**
Automatic debt dynamics	**0.2**	**0.0**	**-3.0**	**1.4**	**-2.0**	**-2.4**	**-2.5**	**-2.5**	**-2.3**	**-2.0**	**-1.6**		
Contribution from interest rate/growth differential	-1.8	-1.5	-2.0	-1.0	-2.2	-2.4	-2.4	-2.4	-2.2	-2.0	-1.6		
of which: contribution from average real interest rate	0.3	0.6	0.3	1.2	0.2	0.0	0.0	0.1	0.2	0.3	0.3		
of which: contribution from real GDP growth	-2.1	-2.0	-2.3	-2.2	-2.3	-2.4	-2.4	-2.4	-2.4	-2.3	-1.8		
Contribution from real exchange rate depreciation	2.0	1.5	-1.0	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**-0.2**	**-0.1**	**-0.1**	**-0.1**	**-0.1**	**-0.1**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.4**	**0.0**
Privatization receipts (negative)	0.0	-0.2	-0.1	-0.1	-0.1	-0.1	-0.1	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**0.6**	**-0.8**	**0.0**	**4.0**	**0.1**	**0.0**	**-0.1**	**-0.1**	**-0.1**	**0.0**	**0.0**	**1.7**	**0.3**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**33.0**	**36.3**	**36.0**	**35.6**	**35.3**	**34.9**	**34.5**	**31.7**	**26.1**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**193.4**	**200.4**	**208.2**	**204.9**	**202.7**	**197.0**	**190.4**	**161.3**	**119.9**		
Debt service-to-revenue and grants ratio 3/	**26.3**	**25.6**	**29.8**	**29.9**	**43.5**	**54.8**	**64.0**	**68.6**	**71.9**	**46.2**	**25.9**		
Gross financing need 4/	8.4	5.8	6.3	6.2	9.4	11.6	13.4	14.3	14.9	10.5	6.7		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	7.0	5.9	6.8	6.7	6.4	6.6	6.7	6.9	6.9	7.0	6.5	**6.3**	**6.8**
Average nominal interest rate on external debt (in percent)	2.6	2.3	3.7	2.7	2.8	2.8	2.7	2.7	2.6	2.5	2.4	**4.9**	**2.6**
Average real interest rate on domestic debt (in percent)	1.1	2.0	-0.1	5.6	0.2	-0.6	-0.4	-0.1	0.5	1.2	1.5	**-3.7**	**0.9**
Real exchange rate depreciation (in percent, + indicates depreciation)	15.3	9.8	-6.6	...	...	...	...	...	...	...	...	**-0.9**	**...**
Inflation rate (GDP deflator, in percent)	4.1	3.6	6.3	0.3	5.8	6.9	7.0	6.8	6.5	6.4	6.1	**6.3**	**6.0**
Growth of real primary spending (deflated by GDP deflator, in percent)	3.2	-6.7	-2.1	5.3	8.2	8.6	7.8	7.4	8.0	8.0	7.2	**11.3**	**7.8**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-0.8	1.0	3.1	-2.9	2.1	2.5	2.6	2.5	2.4	2.1	1.6	**1.1**	**1.8**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and IMF staff estimates and projections.

1/ Coverage of debt: The central, state, and local governments plus social security, government-guaranteed debt. Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Myanmar: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2018–28

(In percent)

	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of debt-to GDP ratio											
Baseline	12	13	12	11	10	9	9	8	8	8	8
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	12	9	6	3	0	-3	-5	-6	-7	-8	-9
B. Bound Tests											
B1. Real GDP growth	12	13	12	11	10	10	9	9	9	9	9
B2. Primary balance	12	13	12	11	11	10	10	9	9	9	9
B3. Exports	12	15	17	15	14	13	13	12	12	11	11
B4. Other flows 3/	12	17	20	18	17	16	15	15	14	13	13
B5. Depreciation	12	16	11	10	9	9	8	8	8	8	8
B6. Combination of B1-B5	12	17	18	17	16	15	14	13	13	12	12
C. Tailored Tests											
C1. Combined contingent liabilities	12	13	12	12	11	10	10	10	9	9	9
C2. Natural disaster	12	14	13	13	12	12	11	11	11	11	11
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	55	51	49	47	46	44	44	36	36	36	36
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	55	37	25	12	0	-12	-23	-26	-31	-35	-39
B. Bound Tests											
B1. Real GDP growth	55	51	49	47	46	44	44	36	36	36	36
B2. Primary balance	55	52	52	50	49	49	49	41	40	40	40
B3. Exports	55	65	79	76	75	74	74	60	58	56	55
B4. Other flows 3/	55	68	83	80	80	78	78	63	61	58	56
B5. Depreciation	55	51	37	35	34	32	32	26	27	28	28
B6. Combination of B1-B5	55	72	74	74	74	72	72	58	56	54	53
C. Tailored Tests											
C1. Combined contingent liabilities	55	53	52	50	50	50	50	41	41	41	41
C2. Natural disaster	55	57	58	56	57	57	59	49	50	50	51
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	5	4	5	5	5	5	5	4	4	4	3
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	5	4	4	3	3	2	1	0	0	-1	-2
B. Bound Tests											
B1. Real GDP growth	5	4	5	5	5	5	5	4	4	4	3
B2. Primary balance	5	4	5	5	5	5	5	4	4	4	4
B3. Exports	5	5	6	7	7	7	7	6	6	6	5
B4. Other flows 3/	5	4	6	7	7	6	6	6	6	6	6
B5. Depreciation	5	4	5	5	4	4	4	3	3	3	2
B6. Combination of B1-B5	5	5	6	7	6	6	6	6	6	6	5
C. Tailored Tests											
C1. Combined contingent liabilities	5	4	5	5	5	5	5	4	4	4	4
C2. Natural disaster	5	5	5	6	6	5	6	4	4	4	4
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	6	7	7	7	6	6	5	5	5	4	4
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	6	6	5	5	3	2	2	1	0	-1	-2
B. Bound Tests											
B1. Real GDP growth	6	7	7	7	7	6	5	5	5	5	4
B2. Primary balance	6	7	7	7	6	6	5	5	5	5	4
B3. Exports	6	7	7	8	7	7	6	6	6	6	6
B4. Other flows 3/	6	7	8	9	8	7	7	7	8	7	7
B5. Depreciation	6	9	9	8	7	6	6	5	4	4	4
B6. Combination of B1-B5	6	7	8	9	8	7	7	7	7	7	6
C. Tailored Tests											
C1. Combined contingent liabilities	6	7	7	7	6	6	5	5	5	5	4
C2. Natural disaster	6	7	7	7	7	6	6	5	5	5	5
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and IMF staff estimates and projections.

1/ A bold value indicates a breach of the threshold.

2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.

3/ Includes official and private transfers and FDI.

Table 4. Myanmar: Sensitivity Analysis for Key Indicators of Public Debt 2018–28
(In percent)

	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of Debt-to-GDP Ratio											
Baseline	36	36	36	35	35	35	34	33	33	32	32
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	36	35	35	34	33	33	32	32	31	31	30
B. Bound Tests											
B1. Real GDP growth	36	37	39	39	40	40	40	40	41	41	41
B2. Primary balance	36	38	40	39	39	38	38	37	36	36	35
B3. Exports	36	38	41	40	40	39	38	37	36	36	35
B4. Other flows 3/	36	40	44	43	42	42	41	40	39	38	36
B5. Depreciation	36	36	34	33	31	29	27	25	23	21	19
B6. Combination of B1-B5	36	36	36	34	34	33	33	32	32	31	30
C. Tailored Tests											
C1. Combined contingent liabilities	36	41	40	40	39	39	38	37	37	36	35
C2. Natural disaster	36	47	46	46	45	45	44	43	42	42	41
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	200	208	205	203	197	190	184	179	173	168	161
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	200	205	200	195	187	180	174	168	163	159	154
B. Bound Tests											
B1. Real GDP growth	200	216	223	225	224	221	218	216	213	211	207
B2. Primary balance	200	221	230	226	219	211	204	197	190	184	177
B3. Exports	200	221	234	230	223	214	207	199	191	184	176
B4. Other flows 3/	200	234	252	248	239	230	221	213	203	195	185
B5. Depreciation	200	210	198	187	173	159	145	133	121	110	98
B6. Combination of B1-B5	200	208	207	196	190	184	178	172	167	162	155
C. Tailored Tests											
C1. Combined contingent liabilities	200	237	232	229	222	214	206	199	192	186	179
C2. Natural disaster	200	270	266	262	255	246	238	230	223	217	209
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	30	43	55	64	69	72	73	54	52	49	46
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	30	43	54	63	66	69	70	50	48	45	42
B. Bound Tests											
B1. Real GDP growth	30	45	59	70	77	82	85	66	65	64	61
B2. Primary balance	30	43	60	73	77	81	81	61	59	55	52
B3. Exports	30	43	55	65	70	73	74	56	54	51	48
B4. Other flows 3/	30	43	56	66	71	74	75	57	55	52	49
B5. Depreciation	30	41	52	59	63	66	67	49	47	44	40
B6. Combination of B1-B5	30	42	54	63	67	70	72	53	51	48	45
C. Tailored Tests											
C1. Combined contingent liabilities	30	43	66	74	78	82	82	62	59	56	52
C2. Natural disaster	30	44	79	85	91	95	93	73	70	66	62
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and IMF staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.